



CAUTIOUSLY OPTIMISTIC CEO B. Santhanam says the road ahead will not be easy, but B2C by way of home improvement solutions is a path that Saint-Gobain India must take to achieve its next round of growth

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virtual collaboration visualising their homes in 3D and selecting materials through an e-commerce-like material listings. In fact, two out of three of our new orders originate through virtual collaboration.”

Livspace gives Saint-Gobain a foothold in the apartment segment but a larger market lies in wait for them. Hemant Khurana, Executive Director, Saint-Gobain India (Home and Hospitality Business) speaks of how satellite maps are now being used by the company to identify high-density residential clusters, both in the premium and non-premium segments. “That is the starting point. Through digital [tools], we can use public data to look at those who have applied for a licence in the hospitality business or RERA (Real Estate Regulatory Authority), which tells you at what stage of construction a building is apart from its detailed drawings,” he

elaborates. According to him, Tier III and IV centres have a large number of independent homes—a potential market for the firm. “The home loan disbursals in these locations account for 35-40 per cent of the total,” he adds. ANAROCK’s Jacob sees merit in Saint-Gobain’s strategy and sees high levels of latent demand in Tier II and III centres. “These areas are quite underpenetrated with premium offerings and the move from a more commoditised scenario to one led by a preference for brands is already underway,” he says.

In the end, it is a question of picking the right adjacencies and by the looks of it, Saint-Gobain has its hands full, at least for a while. “Even if we stick to what we are good at and don’t get into something like plywood or lighting, we will be on course to hit the revenue numbers,” says Santhanam. India has seen the foray into adjacencies such as that

of Havells India which went from cables and wires to switches, fans, appliances, etc. “Other examples include Polycab India or Crompton Consumer via the acquisition of Butterfly Gandhimathi, Orient Electric’s foray into switchgear and lighting, Jaquar launching lighting products or Asian Paints venturing into home décor and furnishings. These adjacencies have helped companies register double-digit growth and enhance the valuation multiples,” says Elara’s Kapadia.

A cautiously optimistic Santhanam admits that the road ahead will not be easy, but B2C is a path Saint-Gobain India must take. “If we don’t, someone else will,” he says in all seriousness. The next chapter of the French major’s India story seems interestingly poised, and could very well be growth beyond glass. **BT**

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